The Funnel Diagnostic

Sales 101 | Session 11 | Onsurity inside sales funnel | 35-40 minutes

WHAT THIS IS

You have been given one quarter of funnel data from a real-shaped inside sales team, plus the call evidence that explains it.

Something in this funnel is badly broken. The headline number tells you that. It does not tell you where, and the obvious answer is wrong.

Your job is to find it, put a number on what it is costing, explain why it happened, and propose three changes.

This is a diagnosis, not a design exercise. There is a findable answer and the data supports it.

	Task	Time
0	Read the pack	6 min
1	Diagnose — where is the funnel broken?	4 min
2	Quantify — what is it costing?	8 min
3	Root cause — why is it happening?	7 min
4	Fix — three changes, each with the stage it gates	8 min
5	Predict — what the numbers become if you are right	4 min
	TOTAL	37 min

HOW TO WORK

Tasks 1 to 3 individually and silently. Task 4 in pairs. Task 5 individually.

You will need a calculator. Most of task 2 is arithmetic and the arithmetic is the point.

Do not skip to task 4. Every year somebody writes three excellent fixes for a problem the funnel does not have.

Part 1 — Funnel Maths You Will Need

Term	What it is	Why it matters here
Stage conversion	Of everything that entered this stage, what proportion left it forward.	Tells you where deals die. A funnel is diagnosed stage by stage, never in aggregate.

Term	What it is	Why it matters here
Overall conversion	Leads in, wins out. The product of every stage conversion multiplied together.	Good for tracking, useless for diagnosis. It falls when any one stage falls, and it does not say which.
Throughput	The absolute number leaving a stage, not the percentage.	The number everyone forgets. A stage can have a collapsing conversion rate and unchanged throughput, and that combination is the most informative thing in this pack.
Capacity	How many conversations the team can physically have in a period.	Fixed in the short run. Anything that consumes capacity without producing wins is taking it from something that would have.
CAC per win	Marketing and sales spend divided by closed-won deals.	The efficiency number. Revenue can grow while this gets worse, and when it does you have bought growth rather than earned it.
Time to first contact	Median minutes from lead arriving to a human reaching them.	In inside sales this is the single strongest predictor of whether a lead converts. Treat it as a stage conversion driver, not an operational nicety.

Part 2 — The Case

2.1 The company

Onsurity sells employee healthcare and benefits to Indian SMEs. Hospitalisation cover, healthcare-at-home, and pre and post-hospitalisation expenses, covering permanent, contract and freelance staff in one plan on a monthly subscription.

	Detail
Motion	Inside sales. Leads arrive, a rep calls, the cycle runs two to six weeks. No field visits.
The team	Six inside sales reps. Unchanged across both quarters — nobody joined, nobody left.
Average deal	Rs 4.2 lakh a year.
The funnel stages	Lead → Qualified → Proposal → Closed Won.
What changed in Q3	Marketing was given a larger budget and told to grow the top of the funnel. They did.

2.2 The headline

	Q2	Q3	Change
Leads	1,200	2,150	+79%
Closed won	98	109	+11%
Revenue (annualised)	Rs 4.12 cr	Rs 4.58 cr	+11%
Overall conversion	8.2%	5.1%	− 3.1 pts
Sales and marketing spend	Rs 38 lakh	Rs 92 lakh	+142%

The VP of Sales has been asked to explain why a 79% increase in leads produced an 11% increase in revenue. You have thirty-five minutes.

2.3 Exhibit A — The funnel, stage by stage

Stage	Q2 entered	Q2 converted	Q2 rate	Q3 entered	Q3 converted	Q3 rate
Lead → Qualified	1,200	592	49%	2,150	603	28%
Qualified → Proposal	592	326	55%	603	320	53%
Proposal → Closed Won	326	98	30%	320	109	34%
OVERALL	1,200	98	8.2%	2,150	109	5.1%

2.4 Exhibit B — Lead volume and conversion by source

Source	Q2 leads	Q2 Lead →Qualified	Q3 leads	Q3 Lead →Qualified	Q3 qualified	Q3 wins
Inbound form (organic, SEO)	580	58%	620	52%	322	58
Referral	165	70%	180	67%	121	27
Outbound	455	31%	340	29%	99	13
Paid social (new in Q3)	—	—	1,010	6%	61	11
TOTAL	1,200	49%	2,150	28%	603	109

2.5 Exhibit C — Response time and team capacity

	Q2	Q3
Median time to first contact — inbound form	14 minutes	3 hours 40 minutes
Median time to first contact — referral	22 minutes	51 minutes
Median time to first contact — outbound	n/a	n/a
Median time to first contact — paid social	—	26 minutes
Total outbound calls made by the team	2,880	3,050
Reps	6	6
Leads per rep per quarter	200	358
Average calls before a lead is disqualified	1.1	2.3

A NOTE ON HOW LEADS ARE ROUTED

All leads land in one shared queue. Reps work it newest-first. There is no priority, no scoring, and no separate treatment by source.

This has been the process for two years and nobody has changed it.

2.6 Exhibit D — Recorded loss reasons

Reason logged by rep	Q2 share	Q3 share
Not a fit / too small	18%	41%
No budget	22%	19%
Went with competitor	24%	14%
No decision / went quiet	26%	21%
Other	10%	5%

2.7 Exhibit E — Call snippets

Four extracts pulled at random from Q3 recordings by the sales enablement team.

SNIPPET 1 — rep: Kavya · source: paid social · call 2 of 3

KAVYA: …so with the mixed workforce cover, contract staff sit on the same plan as everyone else.

BUYER: Right. It's just me and my brother, though. And two people who come in part time.

KAVYA: Sure. So for a team that size we'd typically start with the base plan and you can add people as you grow—

BUYER: And what's the minimum?

KAVYA: We generally work with teams of fifteen and up, but let me check what we can do.

SNIPPET 2 — rep: Arnav · source: paid social · call 1 of 2

ARNAV: Thanks for filling in the form. What made you look into employee health cover?

BUYER: Honestly I just clicked something on Instagram. I don't really remember.

ARNAV: No problem at all. Let me tell you a bit about what we do — so Onsurity covers hospitalisation, healthcare at home…

SNIPPET 3 — rep: Meera · source: inbound form · call 1 of 1

BUYER: …I actually filled that in on Tuesday. I've since spoken to Plum and we're fairly far down the road with them.

MEERA: Ah. I'm sorry it took us a few days to get to you.

BUYER: It's fine. If it doesn't work out I'll come back to you.

SNIPPET 4 — rep: Kavya · source: paid social · call 3 of 3

KAVYA: So did you get a chance to look at the plan comparison I sent?

BUYER: I did, yeah. Look — I think we're a bit early for this. We're four people.

KAVYA: Understood. Would it help if I checked back in a couple of months?

BUYER: Sure, yeah.

2.8 Exhibit F — What the reps say

Rep	Comment from a team retro
Arnav	"The volume is unreal. I'm getting through maybe sixty percent of my queue and the rest just sits there."
Meera	"I've had three people this quarter tell me they'd already signed with someone else by the time I called. That never used to happen."
Kavya	"A lot of them are tiny. Two people, four people. But I can't tell from the form, so you have to call and find out."
Devansh	"Honestly I've stopped working the older stuff. There's always something newer in the queue."

Part 3 — Your Tasks

Task 1 — Diagnose (4 minutes, individually)

Where is this funnel broken? Be precise: name the stage, and support it with the two numbers that prove it.

Question	Your answer
Which stage is broken?	
The two numbers that prove it	
Which stages are NOT the problem, and how do you know?	

ONE HINT, BECAUSE IT SAVES YOU FROM A COMMON MISTAKE

Look at the throughput of the qualified stage across both quarters, not just the rate.

One of those two numbers is far more alarming than the other, and most people only look at the rate.

Task 2 — Quantify (8 minutes, individually)

Put numbers on it. Show your working — the arithmetic is the assessment, not the final figure.

Calculate	Your working and answer
CAC per closed-won deal, Q2 and Q3	
If Q3's 2,150 leads had converted at Q2's overall rate of 8.2%, how many wins would that be? What revenue? What is the gap versus actual?	
Paid social: what share of total Q3 leads, and what share of total Q3 wins?	
Using the average of 1.9 calls per paid social lead, how many calls did paid social consume? What share of the team's 3,050 calls is that?	
Excluding paid social entirely, what was the Q3	

Calculate	Your working and answer
Lead→Qualified rate? Compare it to Q2.	

Task 3 — Root cause (7 minutes, individually)

Two causes are operating here. One is obvious from Exhibit B. The second is visible only if you connect Exhibit C to Exhibit F, and it is the more expensive of the two.

	Your answer
CAUSE 1 — state it in one sentence, with the exhibit that proves it	
CAUSE 2 — state it in one sentence, with the two exhibits you had to connect	
Which cause is costing more? Defend it with a number.	
What do the call snippets add that the numbers alone do not?	

Task 4 — Fix (8 minutes, in pairs)

Three changes. For each, name the stage it gates, what it does, and how you would know within one quarter whether it worked.

#	The change	Which stage it gates	The metric that tells you it worked
1			
2			
3			

Question	Your answer
One of the obvious fixes is to switch off paid social. Argue against it in two lines — what would that cost, and what would it fail to fix?	

Task 5 — Predict (4 minutes, individually)

If your three changes work, what does the Q4 funnel look like? Assume lead volume stays at 2,150 and the team stays at six reps.

	Q3 actual	Your Q4 forecast	Why
Leads			
Lead → Qualified rate			
Qualified			
Closed won			
CAC per win			